

CERTIFICATION OF BUSINESS PRACTICES AND ALGORITHMS AS A COMPLEMENTARY APPROACH TO PLATFORM REGULATION

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Concerns are rising about the perfect storm that brings together dominant digital platforms and national politics. Europe has been relying on regulation to protect against the winds of platform harm, but regulation has reached its limits. How can we withstand the Big Tech firms and Chinese upstarts? How can we build digital platforms that better serve society?

Instead of resorting to the familiar toolkit, I suggest a new approach. Voluntary certification of digital platforms can restrict the harmful practices of some dominant platforms but more importantly motivate contender platforms with stakeholder-oriented business models.

We do not expect all dominant platforms to forgo exploitative business models and certify, but certification can reward the virtuous conduct of emerging platforms such as *Mastodon*, *Thrive Market*, *Brightly*, *Signal*, *Proton* and *Jitsi Meet*. Before pursuing my PhD at Wharton, back in the 1990s I was a consultant for companies undergoing ISO9001 certification. I had to convince executives that their investments would pay off and that this seal of approval would attract customers and grow their business. Nowadays with more than a million certified sites, ISO9001 is needed to play, but those who were early to certify gained a differentiation advantage, much like emerging platforms can gain today.

By complementing protective regulation with a system that motivates platforms to better serve stakeholders, contender platforms can leverage this differentiation advantage and build reputation. The purpose is to motivate and reward platforms that align their practices with the public interest. Eventually, those undergoing certification can impose competitive pressure also on some dominant platforms that may revise their practices to retain or regain market share.

What is voluntary certification? This approach involves setting standards for desirable practices and identifying undesirable practices using scorecards to help assess and benchmark digital platforms. The inspection would be carried out by an independent third-party organization with relevant expertise, resources, and inspection processes to scrutinize the inner working of platforms.

Certification can be useful when regulation is extensive but ambiguous and difficult to enforce. A credible system for verifying the claims of those that strive to serve their stakeholders calls for authenticating their ethical conduct. Certification can validate practices to ensure their compliance with standards, as in the examples of ISO9001 and B Corp certification for social impact.

Digital platforms may misrepresent their business practices, disguise them, or maintain secrecy, to avoid being caught violating regulations. Therefore, the inspection should go beyond practices that do not always reveal conduct to include also the algorithms of digital platforms. Algorithms can expose the true nature and inner working of practices and conclusively reveal how the platform conducts its operations. Although the DSA and DMA already require access to data and algorithms, the certification would make this a default in every inspection rather than a rare occasion.

The inspection would include interviews with managers and programmers as well as a review of information systems with their documentation and software code. Scorecards would be used to consistently identify harms and determine if practices meet desirable standards. The inspection could include sandbox testing for running algorithms and review of training data and performance metrics of AI algorithms. This can reduce information asymmetry and increase transparency about the conduct of digital platforms. Indeed, some platforms may object to the possible exposure of trade secrets, but common procedures could be applied for protecting IP, maintaining confidentiality and eliminating conflict of interest in audits, as with the ISO 27001 standard for information security systems.

The inspection team should be interdisciplinary, with skills in computer science, legal studies, and business administration. Attracting top talent is not easy, but with competitive compensation and a sense of mission it is doable. You would be surprised how many professionals would be eager to travel the world and visit Tech companies that would listen to them. It is also possible to rely on the wisdom of the crowd, with anonymous tips from end users and employees of the inspected platforms.

Given the urgency and potential concerns about the legitimacy of the certifying body, it is advisable to assign the task to an established and experienced organization such as the B Lab or ISO that can rely on existing procedures while adapting its scorecards to the context of digital platforms.

It is quite clear that the Big Tech firms are not incentivized to certify despite growing public concerns about their harmful practices. Social pressure is unlikely to make them revisit harmful practices. Most dominant platforms maintain their exploitative practices as long as the gains from such practices offset the gains from certification net the cost of revising their practices.

However, certification can enhance the reputation of emerging platforms. As much as the inspection can reveal harmful conduct, it can deter the use of harmful practices and help support platforms that rely on socially desirable practices. The certification can help them draw more users, attract employees, grow their business, and enhance competitiveness without exploiting stakeholders. Therefore, certification would initially pay off to small entrepreneurial contenders. Some digital platforms would voluntarily undergo certification and may impose market pressure on the dominant platforms. If market pressure is insufficient, regulators may intervene to make voluntary certification mandatory for dominant platforms.

Besides regulatory intervention, the adoption of certification depends on its differentiation value, network externalities, and competitive pressure. For it to work, users must recognize the value of certification. Regulatory intervention could incentivize contenders to certify by offering funding to startups that develop prosocial platforms, by sponsoring the certifying organization, and making the certification fee proportional to platform size.

In conclusion, the certification of business practices and algorithms is a novel approach for aligning the practices of digital platforms with the interests of stakeholders and society. Promoting certification may be more beneficial than further developing regulation given its limitations.

- Whereas regulation penalizes harmful platforms, certification contributes to the reputation of platforms that protect stakeholder interests.
- Unlike regulation, certification rewards virtuous conduct and identifies undesirable yet unforbidden practices.
- Whereas it takes years to craft and deploy regulation or prosecute for violations, which does not benefit customers or competitors, the certification scorecard can be frequently updated.
- Unlike regulation that penalizes ex post, certification provides positive market incentives for improving business practices ex ante and helps differentiate platforms that serve stakeholders.
- Even though certification is voluntary, it is more balanced, independent, systematic, comprehensive, and meticulous in discerning business practices, e.g., by relying on third-party inspection as opposed to self-assessment.
- Whereas the regulation sets baseline expectations and penalizes deviations from requirements, certification can point to high standards to which digital platforms would aspire.
- Unlike regulation, certification motivates competition without undermining innovation.
- With certification, digital platforms that consider harmful practices would also weigh the reputational damage and loss of market share associated with such practices.
- Instead of balancing the power of digital platforms with that of the judiciary system, certification relies on market pressure to align corporate mission with the public interest.

Certification can give rise to digital platforms that better serve society. Prosocial platforms could gain a differentiation advantage rather than make socially desirable practices a source of disadvantage.